WEEKLY SHIP RECYCLING REPORT

bestoasis

10th September to 17th September 2021

Highlights of the Week

Iron ore prices continue their free fall and are being a sentiment dampener for the subcontinent recycling market, making the end buyers reluctant to place high offers due to uncertainty of price trajectory and demand for steel. Among the three major players of subcontinent, Pakistan is leading the price board followed closely by India and Bangladesh.

The container shipping market is experiencing one of its best years as a perfect storm of COVID-driven purchasing demand, port congestion and typhoons have boosted freight rates but many industry participants are now of the opinion that the supply chain disruptions which caused these record-breaking prices may ease soon and the freight rates will start to see some corrections shortly.

Oil prices steadily climbed this week as US crude oil, gasoline and distillate stocks fell after Hurricane Ida shut numerous refineries and offshore drilling production. The impact of Hurricane Ida along with an increase in global oil demand due to removal of travel restrictions by many major countries have given the required boost to the oil prices.

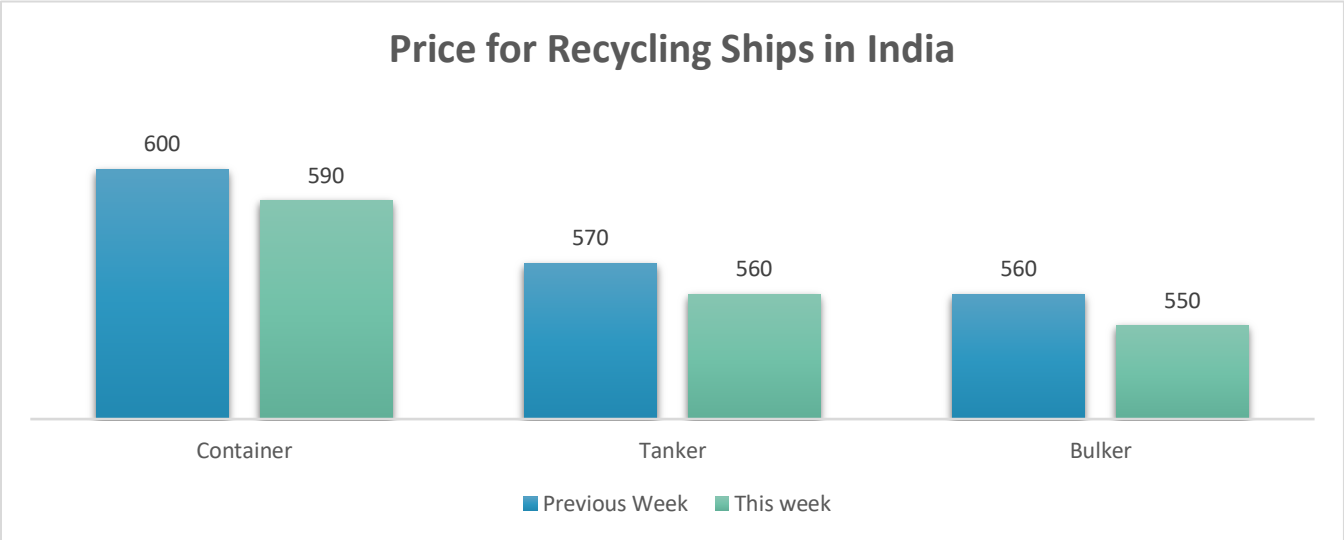
Fresh outbreak of COVID-19 cases in many regions of China is leading to a scenario of near suspension of operations for many steel plants as the deliveries are getting highly affected due to increased mobility restrictions.

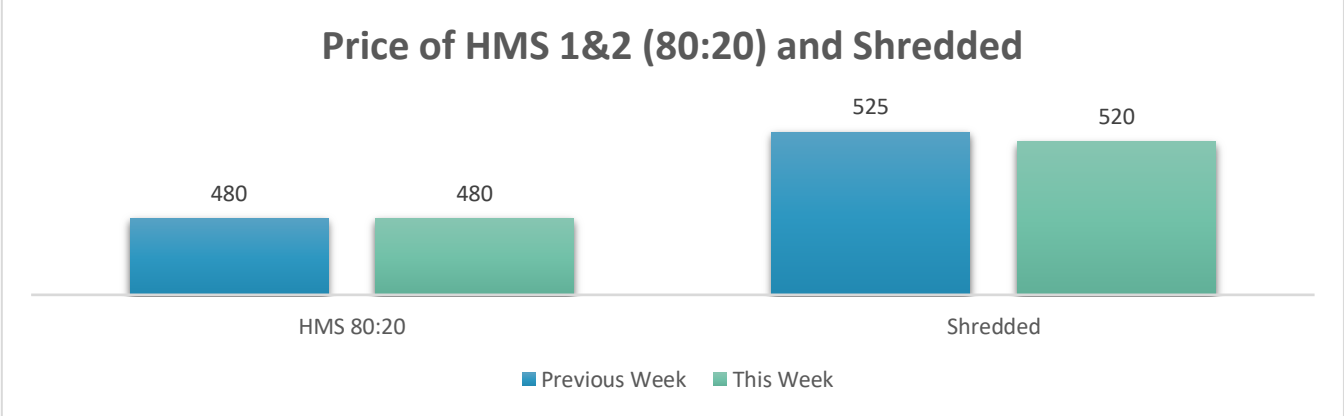
INDIA

Stable Demand Outlook

The demand outlook from India is stable and end buyers are making active inquiries for available units in the recycling market. The prices have witnessed corrections in tune with the slight downward trend prevailing in all the subcontinent markets.

Domestic steel demand is currently tepid while export demand from key export market of South East Asia is also sluggish due to lockdown restrictions in those countries. Additionally, the container shortages and high freight costs are causing a dent in export demand of semi-finish steel.





Beaching Dates:

18th September to 26th September 2021
4th October to 12th October 2021
19th October to 25th October 2021

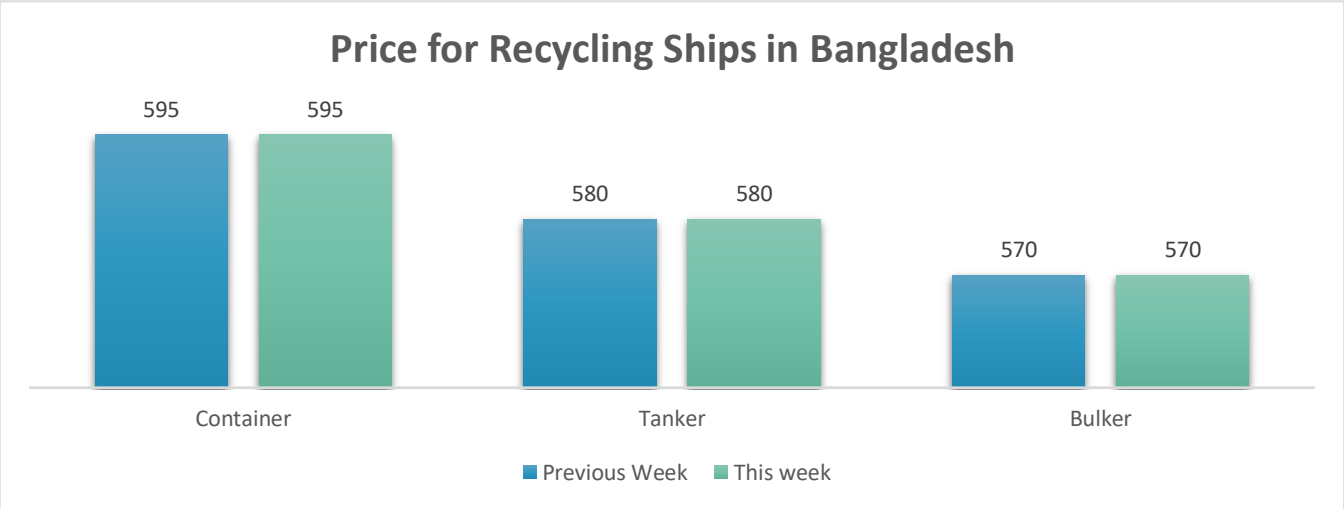
BANGLADESH

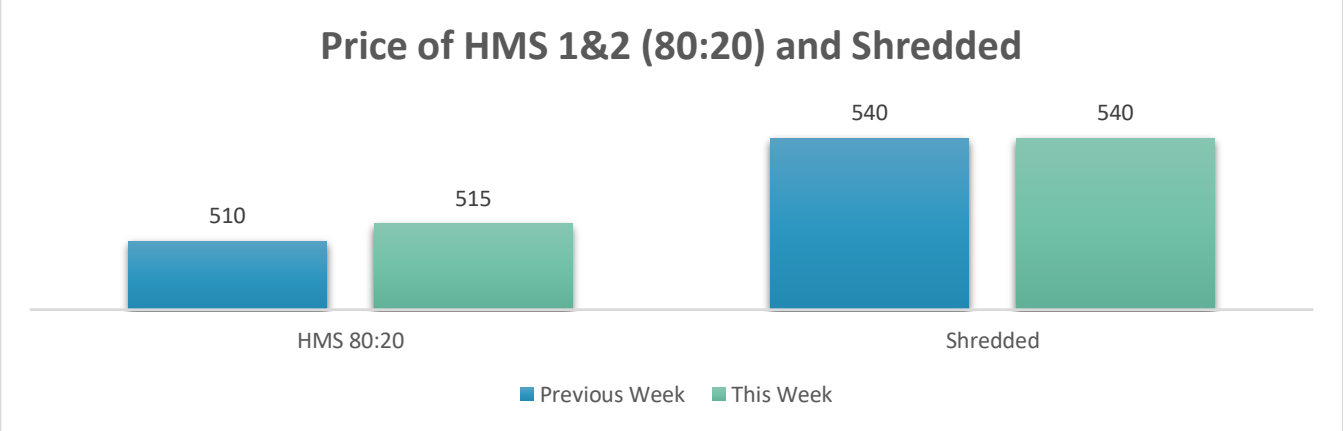
Weak risk appetite

The end buyers of Bangladesh are still averse to taking risk in the prevailing uncertain phase and are only showing interest for mid-sized tonnage. The overall market sentiment is weak with very few players actively making inquiries.

Persistent weakness in downstream industrial and end-user demand has kept steel demand sluggish in the domestic market, thus keeping the prices under pressure.

There is slight fall of about USD 6/MT in prices of Re-bar as major mills do not expect marginal improvement in demand anytime soon.





Beaching Dates:

20th September to 23rd September 2021
5th October to 8th October 2021
19th October to 22nd October 2021

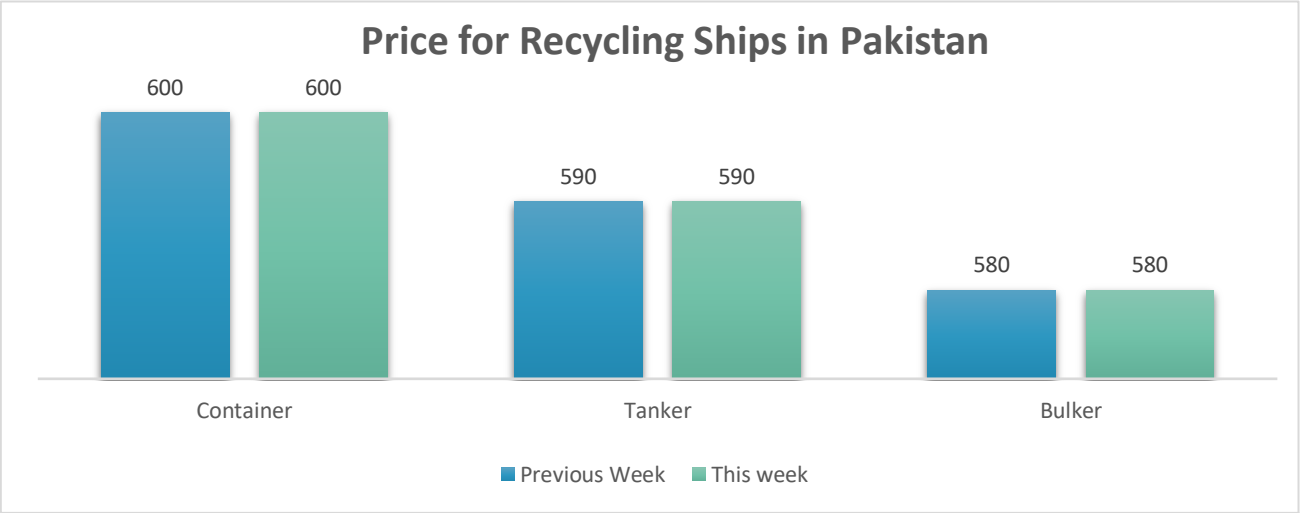
PAKISTAN

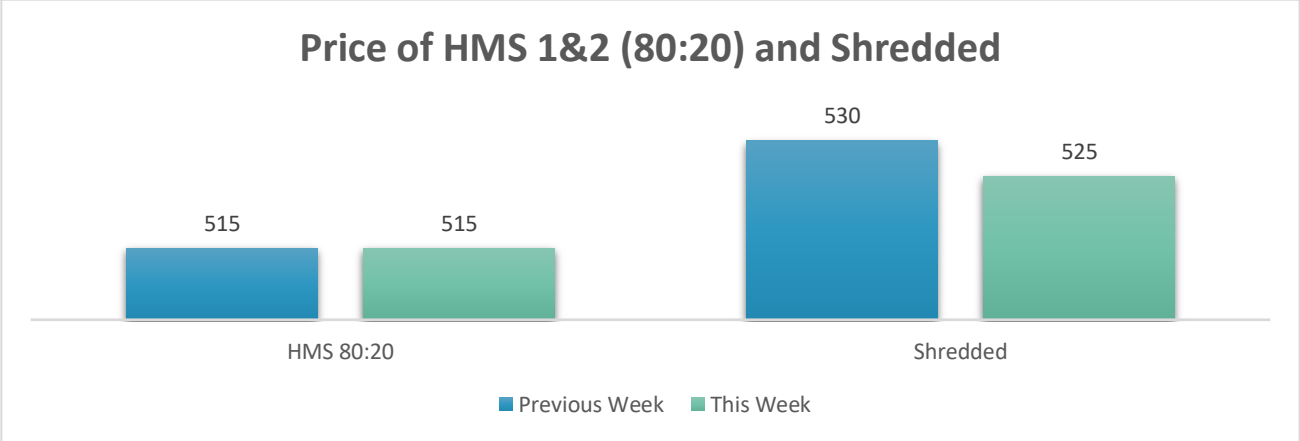
Leading the Price Board

The recyclers are showing healthy buying interest as the ship plate prices have seen improvement week-on-week. In terms of prices being offered, the end buyers of Pakistan are leading the charts.

Imported scrap prices have softened by USD5/MT as market participants are not placing active orders currently in expectation of a fall in scrap prices globally.

The US Dollar reached its highest level in history against Pakistani Rupee this week. The PKR has been on a downward trajectory since May 2021, with rising import bill and a widening current account deficit putting pressure on the rupee. It is currently trading at PKR 168.03/USD.





Beaching Dates:
Throughout the month

TURKEY

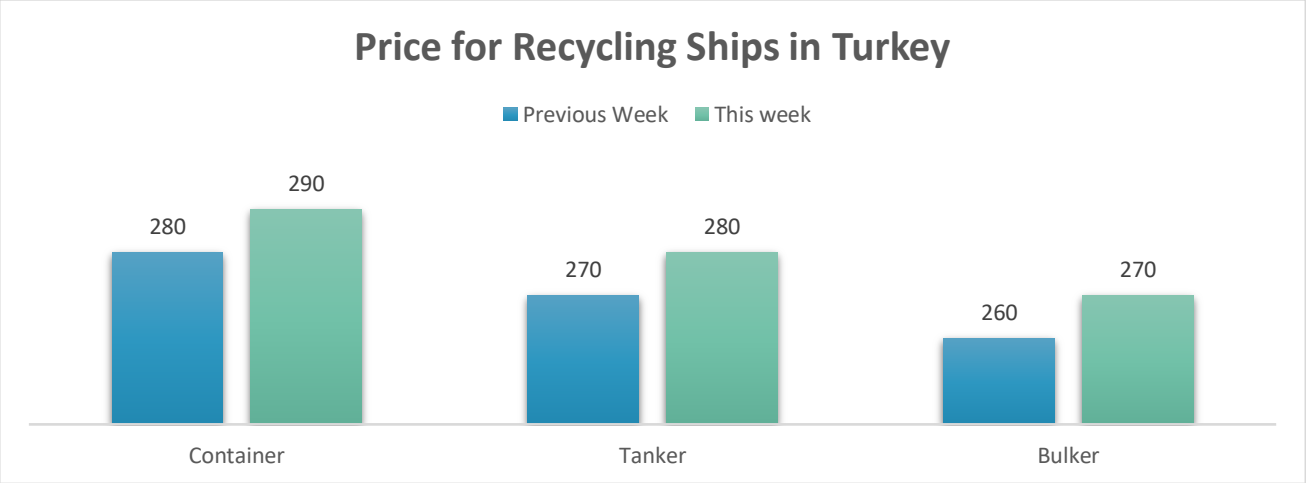
Import scrap prices strengthened

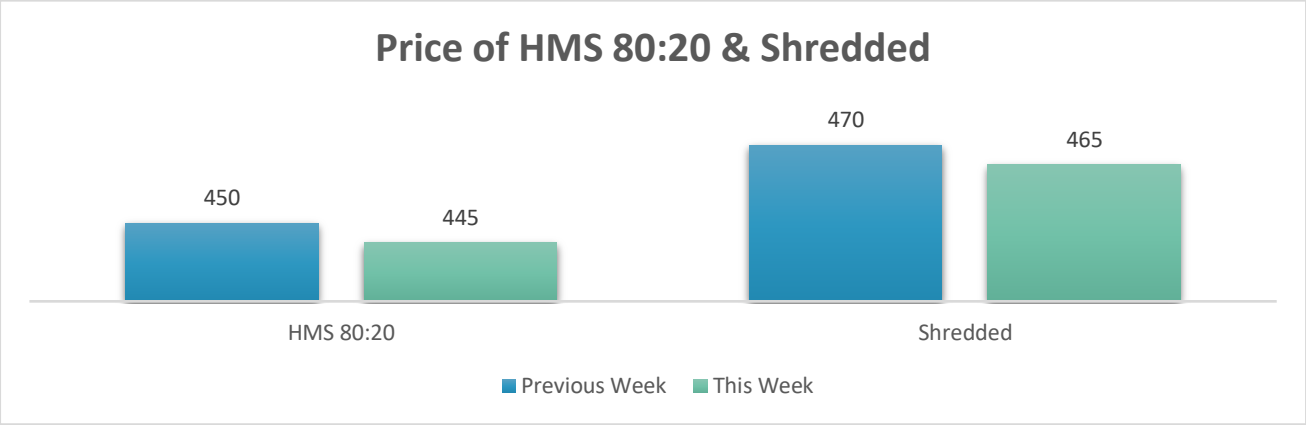
No vessel has arrived in Aliaga this week for recycling.

Imported scrap prices have rebounded this week and increased by about USD 4/MT as buying interest picked up slightly leading to mills actively placing orders for deep-sea scrap cargoes.

Turkish Lira tumbles again and lost its value against USD. It is currently trading at TL 8.59/USD.

Turkey will be removed from England's red list banning international travel as the government relaxes international travel rules.



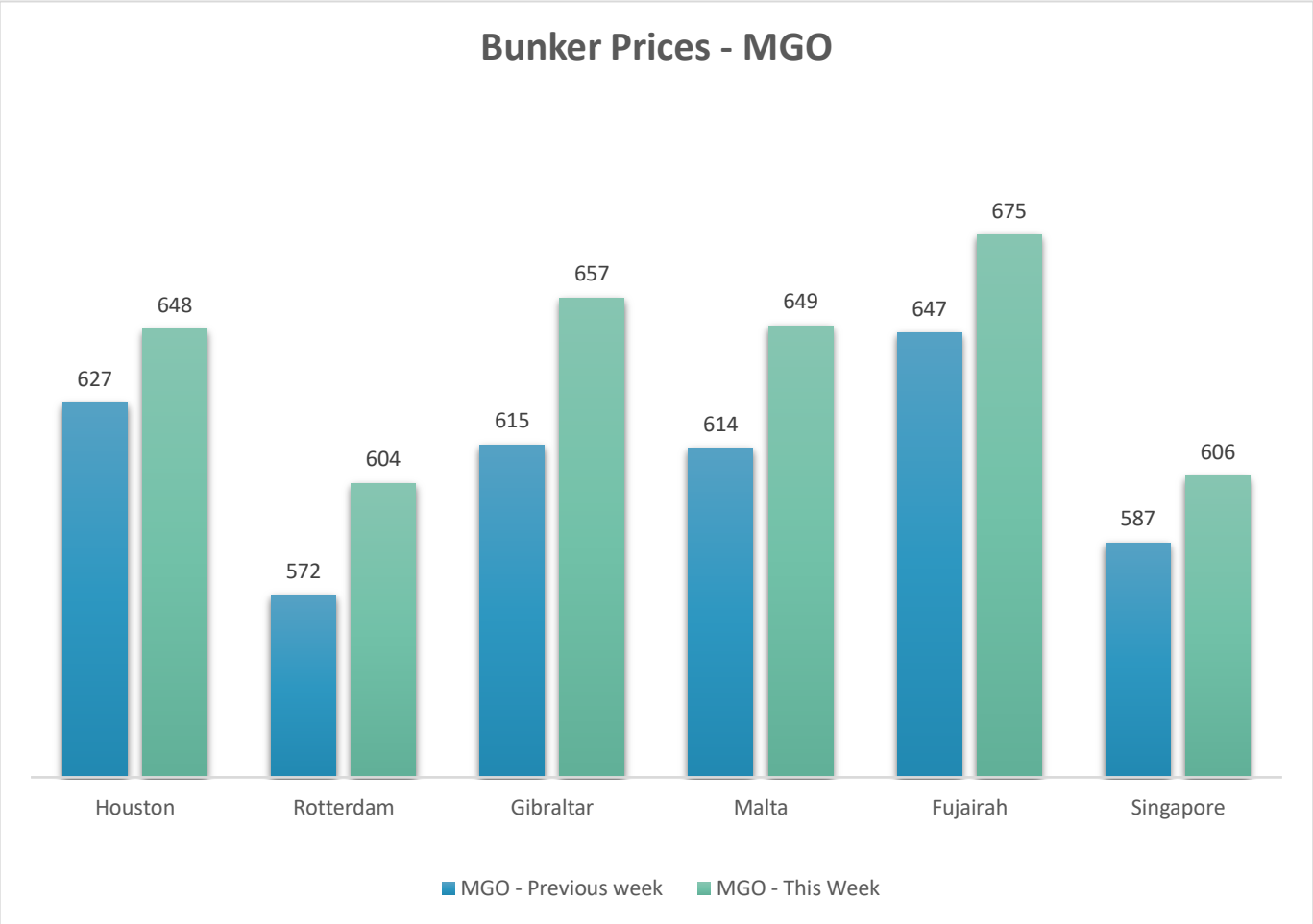


Beaching Dates:
Throughout the month

LIST OF VESSELS SOLD THIS WEEK

Vessel Name	Type of Vessel	Year of Build	Country of Build	LDT	Term of Sale	Location of Delivery	Sale Price/LDT (USD)
New Harmony	Tanker	1993	Singapore	2,944.00	As-Is	Batam	Undisclosed
Sea Glamour	Tanker	2000	Korea	23,267.00	Delivered	Chittagong	Undisclosed

BUNKER PRICES AT PORT



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